

SGBS GROUP

PROFESSIONAL ADVISORY & COMPLIANCE SERVICES

ENGAGEMENT LETTER

Registration of a Public Benefit Organisation (PBO) with SARS

*Prepared in terms of Section 30 of the Income Tax Act, No. 58 of 1962
South African Revenue Service — Tax Exemption Unit*

PREPARED FOR

House of Bread Ministries

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PREPARED BY

SGBS Group

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SGBS Group - PBO Engagement Letter

SGBS GROUP

Professional Advisory & Compliance Services

Date: 8 April 2026

ENGAGEMENT LETTER

PBO Registration with the South African Revenue Service (SARS)

1. PARTIES

Details	
Service Provider	SGBS Group
Consultant	Sibusiso Mavuso
Client Organisation	House of Bread Ministries
Physical Address	3A Phyllite Avenue, Zwartkop, Centurion, 0157
Client Contact Person	Kulani Muthembi

2. PURPOSE OF THIS ENGAGEMENT

SGBS Group (“the Firm”) has been engaged by House of Bread Ministries (“the Organisation”) to provide professional advisory and administrative assistance in applying for **Public Benefit Organisation (PBO) status** with the South African Revenue Service (SARS), in terms of **Section 30 of the Income Tax Act, No. 58 of 1962**.

This engagement letter sets out the scope of services, the documents required, the process to be followed, estimated timelines, fees, and the respective responsibilities of both parties.

3. WHAT IS A PBO?

A **Public Benefit Organisation (PBO)** is a non-profit organisation approved by SARS to carry on one or more **public benefit activities (PBAs)** as listed in **Part I of the Ninth Schedule** to the Income Tax Act. PBO approval grants the organisation:

- **Exemption from Income Tax** (Section 10(1)(cN))
- **Exemption from Donations Tax** (Section 56(1)(h))
- **Exemption from Estate Duty** (Section 4(h))

- **Exemption from Transfer Duty** (Section 9(1)(e))
 - **Exemption from Skills Development Levy**
 - Eligibility to issue **Section 18A Tax Deduction Certificates** to donors (if approved for Part II activities)
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4. SCOPE OF SERVICES

SGBS Group will provide the following services:

4.1 Pre-Application Advisory

- Review the Organisation's founding document (constitution/trust deed/MOI) to ensure compliance with Section 30 requirements
- Advise on any amendments needed to the founding document before submission
- Confirm that the Organisation's activities qualify as Public Benefit Activities under the Ninth Schedule

4.2 Document Preparation & Compilation

- Prepare and compile the complete PBO application pack
- Complete the official SARS **EI 1 Form** (Application for Exemption: Section 30)
- Complete the **EI 2 Form** (Application for Section 18A approval), if applicable
- Draft supporting motivation letters as required
- Ensure all supporting documents are properly certified and formatted

4.3 Submission & Follow-Up

- Submit the completed application to the SARS Tax Exemption Unit (TEU)
- Manage all correspondence with SARS on behalf of the Organisation
- Respond to any queries or requests for additional information from SARS
- Provide regular progress updates to the client contact

4.4 Post-Approval Advisory

- Upon approval, advise the Organisation on PBO compliance obligations
 - Provide guidance on annual reporting requirements (IT12EI return)
 - Advise on Section 18A certificate issuance procedures (if applicable)
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5. PBO REGISTRATION PROCESS – STEP BY STEP

The PBO registration process with SARS follows the steps outlined below:

Step 1: Preliminary Assessment (Week 1-2)

- SGBS Group reviews the Organisation's founding document and activities
- Identify which **Public Benefit Activities** (PBAs) under the Ninth Schedule apply
- Determine if amendments to the founding document are required

Step 2: Founding Document Review & Amendment (Week 2-4)

- Ensure the founding document contains all **mandatory clauses** required by Section 30:

- A clause confirming the organisation is established solely for the object of carrying on public benefit activities
- A dissolution/winding-up clause directing remaining assets to another PBO or government
- A clause prohibiting the distribution of funds to any person (except for reasonable remuneration)
- A clause requiring that no single person directly or indirectly controls the organisation
- A clause requiring at least three unconnected persons as trustees/directors/office bearers
- A clause confirming the organisation will comply with reporting and record-keeping requirements

Step 3: Gather Supporting Documents (Week 3-5)

- Collect all required documentation (see Section 6 below)
- Ensure documents are certified and current

Step 4: Complete Application Forms (Week 5-6)

- Complete SARS Form **EI 1** (Application for approval as a PBO — Section 30)
- Complete SARS Form **EI 2** (Application for Section 18A approval — if the Organisation wishes to issue tax-deductible receipts to donors)

Step 5: Submission to SARS (Week 6-7)

- Submit the complete application pack to:

SARS Tax Exemption Unit (TEU) PO Box 436 Pretoria, 0001

Or via email: **taboreg@sars.gov.za**

Or via eFiling (if available)

Step 6: SARS Review & Processing (Week 7-30+)

- SARS reviews the application and may request additional information or clarification
- The standard processing time is **90 to 180 business days** (approximately 4-9 months), though it can take longer
- SGBS Group will follow up regularly and respond promptly to any SARS queries

Step 7: Outcome & Approval

- SARS issues a **PBO Reference Number** and an approval letter
- If Section 18A is also approved, the Organisation will be authorised to issue tax-deductible donation receipts

6. DOCUMENTS REQUIRED FROM THE ORGANISATION

The following documents must be provided by **House of Bread Ministries** to SGBS Group:

6.1 Founding & Registration Documents

#	Document	Description
1	Founding Document	Original or certified copy of the Constitution, Trust Deed, or

		Memorandum of Incorporation (MOI). Must contain all Section 30 mandatory clauses.
2	NPO Registration Certificate	Certificate of registration as a Non-Profit Organisation with the Department of Social Development (if registered).
3	CIPC Registration Documents	If registered as a Non-Profit Company (NPC) — COR 14.3, COR 15.3 or equivalent.
4	Trust Registration	If registered as a Trust — Letter of Authority from the Master of the High Court.

6.2 Tax & Financial Documents

#	Document	Description
5	SARS Tax Reference Number	The Organisation's income tax reference number (if already registered for tax).
6	Financial Statements	Most recent audited or independently reviewed financial statements (if available).
7	Bank Statements	Last 3 months' bank statements of the Organisation's bank account.
8	Bank Account Confirmation Letter	Letter from the bank confirming the account is held in the name of the Organisation.
9	Annual Budget	Current or projected annual budget/financial plan.

6.3 Governance & Operational Documents

#	Document	Description
10	List of Trustees/Directors/Office Bearers	Full names, ID numbers, physical addresses, and contact details of all trustees, directors, or committee members.
11	Certified ID Copies	Certified copies of the South African ID documents (or passports) of all trustees/directors/office bearers.
12	Proof of Physical Address	Recent utility bill or municipal account confirming the Organisation's physical address.
13	Organisational Organogram	Structure/hierarchy of the Organisation (if available).

6.4 Activity & Programme Documents

#	Document	Description
14	Detailed Activity Report	A written description of the Organisation's current and planned public benefit activities, including who benefits and how.
15	Beneficiary Information	Description of the target beneficiaries and communities served.
16	Programmes & Projects	Details of specific programmes, projects, or initiatives being undertaken.

17	Photographs / Evidence	Photographs or documentary evidence of activities conducted (if available).
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6.5 Additional Documents (If Applicable)

#	Document	Description
18	Donation Agreements	Copies of donation agreements with major donors (if any).
19	Lease Agreement	If the Organisation leases its premises.
20	Employment Contracts	If the Organisation has paid employees.
21	VAT Registration Certificate	If the Organisation is registered for VAT.

7. ESTIMATED TIMELINE

Phase	Activity	Estimated Duration
Phase 1	Document collection & founding document review	2-4 weeks
Phase 2	Founding document amendments (if required)	1-3 weeks
Phase 3	Application form completion & compilation	1-2 weeks
Phase 4	Submission to SARS	1 week
Phase 5	SARS processing & follow-up	3-9 months
Phase 6	Post-approval compliance advisory	Ongoing

Total estimated timeframe from engagement to SARS submission: 4-8 weeks **Total estimated timeframe including SARS processing: 4-12 months**

***Note:** Timelines depend on the readiness of the Organisation's documents and SARS processing capacity. Delays in providing required documents will extend the timeline.*

8. KEY COMPLIANCE REQUIREMENTS (POST-APPROVAL)

Once approved as a PBO, the Organisation must:

1. **File annual IT12EI returns** with SARS within 12 months of the financial year-end
2. **Maintain proper books and records** for a minimum of 5 years
3. **Report any changes** to the founding document, activities, or office bearers to SARS within a reasonable time
4. **Not distribute profits or gains** to any person other than in the course of carrying on a public benefit activity

5. **Use funds solely** for the approved public benefit activities
6. **Ensure at least three unconnected persons** serve as office bearers at all times
7. **Issue Section 18A certificates** correctly (if approved) — containing all prescribed details

Non-compliance may result in the **withdrawal of PBO status** by SARS.

9. RESPONSIBILITIES

9.1 SGBS Group Responsibilities

- Provide professional, accurate, and timely advisory services
- Prepare and compile all application forms and supporting documents
- Submit the application to SARS and manage follow-up correspondence
- Keep the Organisation informed of progress at all stages

9.2 Organisation Responsibilities (House of Bread Ministries)

- Provide all requested documents in a timely manner
- Ensure all information provided is accurate and complete
- Respond promptly to requests for additional information or clarification
- Effect any required amendments to the founding document
- Provide access to relevant personnel for information gathering

10. FEES

Professional fees for this engagement will be agreed upon separately and confirmed in writing. Fees may include:

Service	Fee Structure
PBO Application (EI 1)	Included
Section 18A Application (EI 2)	Included
Founding Document Review & Advisory	Included
SARS Correspondence & Follow-Up	Included
Post-Approval Compliance Advisory	Included
Total Professional Fee	R3,000.00 (VAT Inclusive)

Note: SARS does not charge a fee for PBO registration. The fees above relate solely to SGBS Group's professional services.

11. CONFIDENTIALITY

SGBS Group undertakes to treat all information provided by the Organisation as strictly confidential and will

not disclose such information to any third party without the Organisation’s prior written consent, except as required by law or for the purposes of this engagement.

12. ACCEPTANCE

By signing below, both parties confirm their agreement to the terms and scope of this engagement.

For SGBS Group:

Name:	Sibusiso Mavuso
Designation:	Consultant
Signature:	_____
Date:	_____

For House of Bread Ministries:

Name:	Pastor Kulani Muthembi
Designation:	Pastor
Signature:	_____
Date:	_____

SGBS Group — Professional Advisory & Compliance Services

This document is prepared for the exclusive use of House of Bread Ministries and SGBS Group.